

PHILHEALTH CIRCULARNo. 2026-0010

TO : ALL SELF-PAYING DIRECT CONTRIBUTORS (SELF-EARNING INDIVIDUALS, PROFESSIONAL PRACTITIONERS, LAND-BASED MIGRANT WORKERS, FILIPINOS LIVING ABROAD, AND FILIPINOS WITH DUAL CITIZENSHIP) AND ALL OTHERS CONCERNED

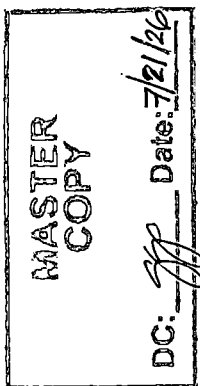
SUBJECT : Waiver of Interests and Payment in Installment Arrangements for Missed Premium Contributions by Self-Paying Members

I. RATIONALE

The Universal Health Care (UHC) Act, or Republic Act No. 11223, ensures immediate eligibility to NHIP benefits and permits continued access regardless of payment status. However, Section 9 of the UHC Act requires self-paying members to settle unpaid premiums with an interest not exceeding one and one-half percent (1.5%) compounded monthly. This establishes PhilHealth's fiduciary responsibility to ensure both continuous benefit entitlement and proper collection of due contributions from self-paying members. While this policy promotes financial risk protection and uninterrupted access to care, irregular income patterns, economic hardships, and unexpected life events have resulted in late or missed premium payments by many self-paying members, which includes the self-earning individuals, professional practitioners, land-based migrant workers, Filipinos residing abroad, and dual citizens; leading to substantial accumulated interest that imposed significant burdens.

It is also noteworthy to consider the principles of equity, social solidarity, and financial risk protection enshrined in Section 3 of the UHC Act which seeks to progressively realize universal health care in the country through a systemic approach and clear delineation of roles of key agencies and stakeholders towards better performance in the health system; and ensure that all Filipinos are guaranteed equitable access to quality and affordable health care goods and services, and protected against financial risk.

Considering the aforementioned, the PhilHealth Board through its Resolution No. 3076, s-2026 authorized a one-time waiver of interest on missed premium contributions by self-paying members covering the applicable months of November 2019 to December 2025, subject to reasonable conditions that promote continuous coverage, accurate income reporting, and engagement with primary care.



II. OBJECTIVES

This PhilHealth Circular aims to:

- A. Promote the resumption, reactivation, and sustained active status of self-paying members by enabling the regularization of premium obligations and supporting continued participation in the National Health Insurance Program;
- B. Improve membership retention and compliance with contribution requirements by reducing financial barriers to maintaining active PhilHealth coverage;
- C. Provide a clear policy framework for the waiver of accrued interest on late or missed premium contributions of self-paying members for the defined coverage period;
- D. Facilitate the orderly settlement of premium arrears through standardized, interest-free installment payment arrangements that promote regularization and improve principal contribution recovery;
- E. Encourage the self-paying members to update his/her member information;
- F. Strengthen primary care engagement through empanelment under the Yaman ng Kalusugan Program (YAKAP); and,
- G. Promote equitable, sustainable, and continuous access to health insurance benefits by ensuring financial stability and long-term viability of PhilHealth.

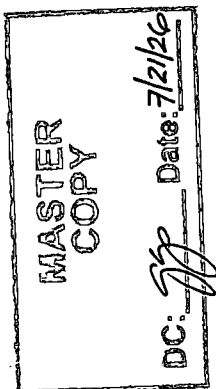
III. SCOPE

This PhilHealth Circular covers late or missed premium contributions incurred from November 2019 to December 2025, and the corresponding accrued interest eligible for waiver under this policy, subject to the conditions prescribed herein. The waiver applies prospectively and does not authorize refunds of interest previously paid prior to the effectivity of this policy issuance.

This policy shall apply to all self-paying members of the National Health Insurance Program, including but not limited to self-earning individuals, professional practitioners, land-based migrant workers, Filipinos living abroad, and Filipinos with dual citizenship, who pay premiums on their own behalf as direct contributors.

IV. DEFINITION OF TERMS

- A. **Accrued Interest** – the monthly-compounded interest assessed on unpaid premium arrears pursuant to Section 9 of the Universal Health Care



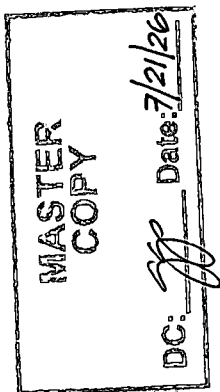
Act and its IRR, at a rate not exceeding one and one-half percent (1.5%) per month for self-paying members.

- B. **Empanelment**¹ – the formal care relationship established between beneficiaries and their chosen Primary Care Clinics after completion of First Patient Encounter (FPE), creating mutual accountability and ongoing clinical relationships.
- C. **First Patient Encounter (FPE)**² – initial episode of patient contact for the year whereby a primary care provider takes and/or updates the basic health data of an eligible beneficiary to identify their health risks. The FPE is not a medical consultation.
- D. **Installment Applicable Period** – the coverage months from November 2019 to December 2025 for which missed premium contributions have incurred interests subject to waiver under this policy.
- E. **Installment Payment Arrangement** – a payment scheme allowing eligible self-paying members to settle principal premium arrears through equal monthly installments within the prescribed maximum period, without imposition of new interest, subject to compliance with the terms of the arrangement.
- F. **Missed or Late Premium Contributions** – premium payments that were not remitted within the prescribed period for the applicable month or coverage period.
- G. **Principal Premium Arrears** – the total amount of unpaid premium contributions corresponding to the applicable period, exclusive of interests, penalties, or surcharges.
- H. **Self-Paying Members (SPM)** – those who personally pay for their own premiums such as, but not limited to:
1. Self-earning Individuals
 2. Professional Practitioners
 3. Overseas Filipinos except seafarers and other sea-based workers
- I. **Waiver of Interest** – the condonation or non-collection of accrued interest on late or missed premium contributions for the applicable period.
- J. **Yaman ng Kalusugan Program (YAKAP)**³ – an evolution of the PhilHealth Konsulta Program which builds on the previous program's foundations by redesigning provider engagement mechanisms for outpatient diagnostics and pharmaceuticals, improving access and shifting from reactive treatment to proactive wellness that keeps Filipinos "malayo sa sakit," with coverage designed to continuously evolve based on emerging

¹ PhilHealth Circular No. 2025-0017 re: Selection and Empanelment for PhilHealth's Primary Care Benefit Package

² Ibid

³ Ibid



healthcare needs. In previous issuances, it has been called Primary Care Benefit 1 (PCB1), Expanded Primary Care Benefit (EPCB), PhilHealth Tsekap and PhilHealth Konsulta.

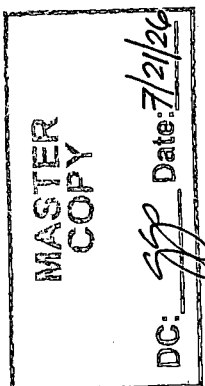
V. POLICY STATEMENTS

A. Waiver of Accrued Interests and Conditions

1. PhilHealth shall implement a one-time waiver of all accrued interest on late or missed premium contributions incurred by self-paying members for the applicable period from November 2019 to December 2025.
2. No refund or reimbursement shall be made for interest previously paid.

B. Conditions for Availment

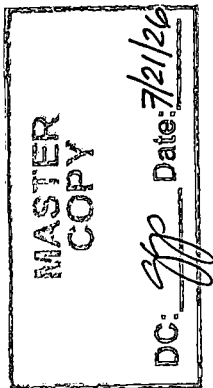
1. The waiver of interest shall be granted only to self-paying members who comply with all of the following conditions:
 - a. Payment of all premium contributions due for 2026 and succeeding periods, in accordance with existing contribution schedules;
 - b. Empanelment of the member and qualified dependents/s if any, under the Yaman ng Kalusugan Program (YAKAP), subject to the submission of proof of assignment to a Primary Care Provider; and
 - c. Updating of member records, including declared monthly income and dependent information.
2. As such, requesting members shall submit the following documents to any PhilHealth Regional, Branch, Local Health Insurance, or Express Office:
 - a. Letter of Request for Interest Waiver
 - b. Valid Government-Issued ID
 - c. Proof of Premium Payments for Current (and Succeeding) Year/s
 - d. Proof of YAKAP assignment/ selection of member and, if applicable, the qualified dependent/s, at the time of application; provided, that completion of the First Patient Encounter (FPE) and empanelment shall be undertaken thereafter within the period prescribed by the Corporation;
 - e. Updated PhilHealth Member Registration Form, if applicable, and its supporting documents, reflecting the following:
 - e.1. Revised monthly income declaration
 - e.2. Corrected or newly declared dependents
 - e.3. Updated address and contact details
3. For purposes of application and initial processing, proof of YAKAP assignment or registration shall be sufficient. However, completion of



FPE and empanelment under YAKAP shall remain a condition for the continued effectivity of the approved waiver of interest or installment payment arrangement, and shall be complied with within the period prescribed by the Corporation.

C. Establishment and Settlement of Principal Premium Arrears

1. The waiver applies exclusively to accrued interest. As such, PhilHealth shall determine the principal premium arrears for self-paying members by reconciling posted premium payments against the prescribed contributions for months that the member was tagged as self-paying member within the applicable period of November 2019 to December 2025.
2. The resulting unpaid premiums, exclusive of interests, shall constitute the principal premium arrears due and must be settled either through a one-time payment or through an approved installment arrangement.
3. Self-paying members may verify their premium contributions record and any existing arrears through the PhilHealth Member Portal or through the eGOV PH mobile application. Members requiring assistance or lacking digital access may obtain their contribution records from any PhilHealth Local Health Insurance Office (LHIO).
4. Self-paying members with arrears may be restored to active contribution status upon payment of all premium contributions due for Calendar Year (CY) 2026, the updating of member records, and compliance for availment under this Circular, without prejudice to the settlement of outstanding premium obligations under the waiver and installment arrangements herein provided. Restoration to active contribution status shall not be construed as a waiver of unpaid principal premium obligations.
5. Self-paying members may request for adjustment on assessed arrears for specific months on the ground of non-earning, category misclassification, or other valid causes by submitting supporting documents on the matter.
6. In cases of inability to pay, the member may request for assessment of financial capacity and/or membership classification by submitting a case study, a certificate of indigency or financial incapacity, or any other similar document issued by the social worker of the DSWD or the concerned LGU where the member resides, together with such other documents as may be required by PhilHealth.
7. Members who submit a case study, a certificate of indigency or financial incapacity, or any other similar document issued by the social worker as mentioned above covering the current applicable period may be granted relief from paying assessed principal premium arrears for the covered period upon PhilHealth's evaluation of the supporting



documents submitted, subject to existing laws, policies, and rules on member classification.

D. Installment Payment Arrangements

1. Members may settle arrears through an installment arrangement, without further accrual of interest, subject to the following maximum terms depending on the number of missed months:

Applicable Period with Arrears	Maximum Installment Payment Arrangement
1–12 months	12 months
13–24 months	24 months
25–36 months	36 months
37–48 months	48 months
More than 48 months	60 months

Table 1: Installment Payment Arrangements

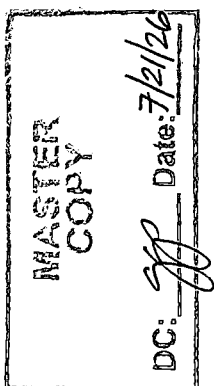
2. No new interest shall accrue during the installment arrangement provided that the member remains fully compliant with the approved schedule.

E. Submission of Requests for Waiver of Interest or Payment Arrangement

1. Self-Paying members must file their application for the waiver of interest or submit their proposed installment payment arrangement until December 31, 2027 or within such period as the Corporation may subsequently prescribe.
2. The application for waiver of interest or the installment payment arrangement shall be evaluated by PhilHealth based on compliance with the conditions and the supporting documents submitted.
3. The effectivity of such waiver or installment payment arrangement shall be reckoned from the time PhilHealth officially approves the application accordingly.

F. Effect of Non-Compliance

1. Failure to comply with the conditions of the availment and/or the terms of an approved installment arrangement shall result in the revocation of the waiver of interest after due notice and provision of reasonable period for the member to comply.
2. Upon revocation, the remaining arrears shall become immediately due and demandable, subject to the applicable interest rates under existing laws and regulations.
3. PhilHealth may allow the updating, restructuring, or reinstatement of an installment payment arrangement under meritorious circumstances,



subject to the conditions and limitations prescribed in implementing guidelines.

G. Implementation and Administration

The Corporation shall issue supplemental rules, procedures, and system enhancements as may be necessary to ensure the effective and efficient implementation of this PhilHealth Circular, including application processing through PhilHealth Local Health Insurance Offices (LHIOs), digital platforms, and other possible channels of communication in order to reach/ inform PhilHealth members especially those in the area of Geographically Isolated and Disadvantaged Areas (GIDAs).

VI. PENALTY CLAUSE

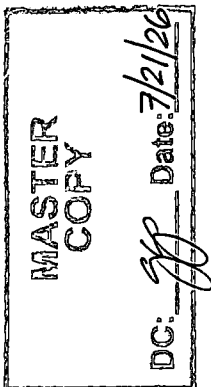
Any misrepresentation, falsification of information, fraudulent act, or persistent non-compliance with the terms and conditions of the waiver, after due notice or a written demand by the Corporation, committed by a member in availing of the waiver of interest under this PhilHealth Circular shall be a ground for the denial or revocation of the waiver, without prejudice to the imposition of applicable penalties under existing PhilHealth rules and other pertinent laws.

VII. TRANSITORY CLAUSE

- A. The rest of CY 2026 shall be treated as a transition period to ensure a smooth and system-ready implementation of this PhilHealth Circular.
- B. During the transition period, the Corporation shall undertake the necessary system enhancements, capacity-building, process refinements, and information dissemination to support the full and effective implementation of the provisions herein.
- C. Applications for waiver of interest and installment payment arrangements may already be accepted, processed, and approved in accordance with this PhilHealth Circular. Provided, that operational adjustments, including system-supported validation, automated computation of arrears, and digital submission channels, may be progressively rolled out.

For this purpose:

- 1. Members may begin availing of the waiver of interest and installment payment arrangements within CY 2026, subject to compliance with prescribed conditions;
- 2. Manual, semi-automated, or interim procedures may be adopted by the Corporation where full system functionality is not yet available; and
- 3. Any approved waiver or installment arrangement during the transition period shall remain valid and enforceable.



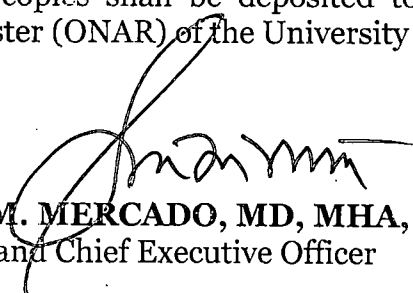
- D. Full and strict implementation of all provisions of this PhilHealth Circular, including complete system integration, standardized processes, and enforcement of all conditions, shall commence on January 1, 2027. Where necessary, the Corporation may adopt supplemental or interim procedures to ensure continuity of implementation while system enhancements are being completed.

VIII. SEPARABILITY CLAUSE

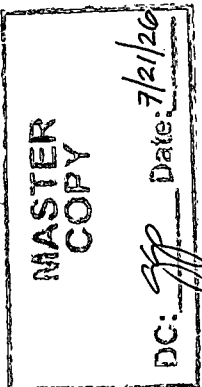
In the event that a part of the provision of this PhilHealth Circular is declared unconstitutional or rendered invalid by any Court of Law or competent authority, provisions not affected by such declaration shall remain in full force and effect.

IX. DATE OF EFFECTIVITY

This PhilHealth Circular shall take effect fifteen (15) days after its publication in the Official Gazette or in any newspaper of general circulation. Three (3) certified true copies shall be deposited to the Office of the National Administrative Register (ONAR) of the University of the Philippines Law Center.


EDWIN M. MERCADO, MD, MHA, MMSc
President and Chief Executive Officer

Date signed: 7/21/2024



Waiver of Interests and Payment in Installment Arrangements for Missed Premium Contributions by Self-Paying Members